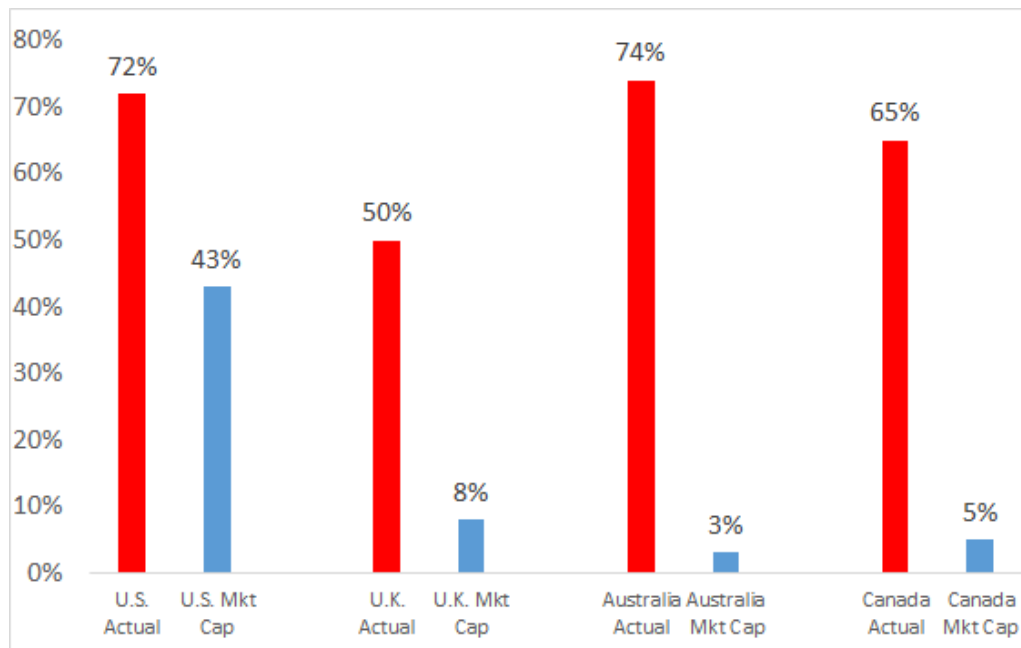


U.S. investors usually put around 70% of their stock allocation at home here in the U.S. This is called the “home country bias”, and it occurs everywhere. Most investors around the world invest most of their assets in their own markets. Figure 16 is a chart from Vanguard that details the “home country bias” effect in the U.S., the U.K., Australia, and Canada. The blue bars are how much investors should own of each country according to global weightings, and the red bars are how much they actually own of their own country – way too much!

FIGURE 16 – Home Country Bias



Source: [Vanguard](#)

Figure 17 is a chart from the Credit Suisse GIRY update we mentioned earlier. It details the U.S. as a percentage of world market capitalization (52%) in 2014. Given this, while most of us here in the United States invest 70% of our stock allocation in U.S. stocks, in order to be truly representative of the global marketplace it really should only be about half. Note that the U.S. was only 15% of world market cap back in 1899. As a share of global GDP, the U.S. is only 20% (emerging markets are 50% of global GDP, but only 13% of market capitalization).